EQUITY RESEARCH REPORT

NIFTY 50
VALUATION REPORT

Assessing Fair Value. Powering Informed Decisions.



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NIFTY 50

About

The **NIFTY 50** is India's benchmark stock market index, representing 50 of the largest and most liquid companies listed on the National Stock Exchange (NSE). It reflects the performance of key sectors of the Indian economy and serves as a widely used benchmark for investors, fund managers, and financial products.

Key Points:

- Comprises **50 large-cap companies** selected based on free-float market capitalization and liquidity

.

- Covers **13+ sectors**, providing broad representation of the Indian equity market.

- Uses the **free-float market capitalization-weighted** methodology for index calculation.

- Serves as the benchmark for **mutual funds, ETFs, index funds, and derivatives** (futures & options).

- Is **reviewed semi-annually** to ensure constituents continue to meet eligibility criteria.

Source: National Stock Exchange (NSE) – NIFTY 50 Index Methodology.

Financial summary

• Market Cap₹	1,95,55,622 Cr.
• Current Price₹	24,207
• 52 week High / Low	26,373 / 22,183
• P/E	20.9
• Price to Book value	3.15
• Dividend Yield	1.23 %
• CAGR 1Yr	-4.97 %
• CAGR 5Yr	9.05 %
• CAGR 10Yr	11.1 %

Companies consist in Nifty 50



Top 10 Companies of Nifty 50

Rank	Company	Primary Business Model
1	Reliance Industries	Diversified conglomerate with businesses in, retail, telecom (Jio), and digital services etc.
2	HDFC Bank	Universal banking offering retail, corporate, SME banking, loans, deposits and cards.
3	ICICI Bank	Universal banking focused on retail banking, corporate lending and asset management.
4	Bharti Airtel	Telecom operator providing mobile, broadband and digital services.
5	Infosys	Global IT consulting, digital transformation, cloud, AI, and outsourcing services.
6	Tata Consultancy Services	IT services, software development, consulting, cloud, AI, and BPO.
7	Larsen & Toubro	EPC, infrastructure, defence, and technology solutions.
8	State Bank of India	India's largest commercial bank offering retail, corporate and rural.
9	Axis Bank	Retail and corporate banking, payments, treasury, and wealth management.
10	Mahindra & Mahindra	Manufactures SUVs, tractors, commercial vehicles and financial services businesses.

Sector wise weights

Sector	Approx. Weight (%)
Financial Services	**35–37%**
Oil, Gas & Consumable Fuels	**10–11%**
Information Technology	**9–10%**
Automobile & Auto Components	**6–7%**
FMCG	**6%**
Telecommunication	**5%**

Sector	Approx. Weight (%)
Healthcare	**4–5%**
Metals & Mining	**4%**
Construction Materials	**2–3%**
Power	**3%**
Consumer Durables	**2–3%**
Capital Goods & Services	**3-4%**

key highlights :

• **Financial Services dominate the index**, accounting for **over one-third (~35%)** of the Nifty 50's weight, making the banking and financial sector the primary driver of index performance.

• **The top three sectors—Financial Services, Oil & Gas, and Information Technology—collectively contribute more than 50%** of the index weight, highlighting the Nifty 50's concentration in India's largest and most influential industries.

•**The Nifty 50 balances growth and defensive sectors**, combining high-growth industries such as IT and Consumer Discretionary with defensive sectors like FMCG, Healthcare, and Utilities, making it a diversified benchmark for long-term investors.

Context

• **As of July 2026, the Nifty 50 is trading around the 24,000 level**, remaining broadly stable despite episodes of heightened volatility driven by geopolitical tensions in the Middle East and fluctuations in global crude oil prices.

• **Domestic institutional and retail investors have continued to provide strong support to the market**, offsetting periods of foreign investor outflows. Robust SIP inflows and improving foreign portfolio flows have helped the index recover from earlier declines and maintain resilience.

• **Investor sentiment remains cautiously optimistic**, supported by expectations of steady domestic economic growth, easing inflation, and improving corporate earnings. However, global uncertainties—including oil price volatility, geopolitical developments, and monetary policy decisions by major central banks—continue to influence near-term market direction.

Valuation Objective

• This report evaluates the **intrinsic value of the Nifty 50 Index** as of **July 2026** using a **Discounted Cash Flow (DCF)** framework, incorporating key valuation drivers such as expected cash distributions (dividends and share buybacks), earnings growth, the equity risk premium, and India's 10-year Government Security (G-Sec) yield as the risk-free rate.

• The analysis is intended to estimate the index's **fair value** and compare it with its prevailing market level to assess whether the Nifty 50 appears **undervalued, fairly valued, or overvalued**. As the valuation relies on forward-looking assumptions, the results should be interpreted as analytical estimates rather than precise forecasts.

• Unless otherwise stated, all financial inputs, macroeconomic assumptions, and market data used in this report correspond to **July 2026**, ensuring that the valuation reflects the latest available market environment.

Earning growth (Estimated: 11%)

The earnings of the Nifty 50 are inferred from the published P/E ratio using the relationship between price and earnings. Accordingly, the index's implied EPS is calculated as the Nifty 50 index value divided by its corresponding P/E ratio.

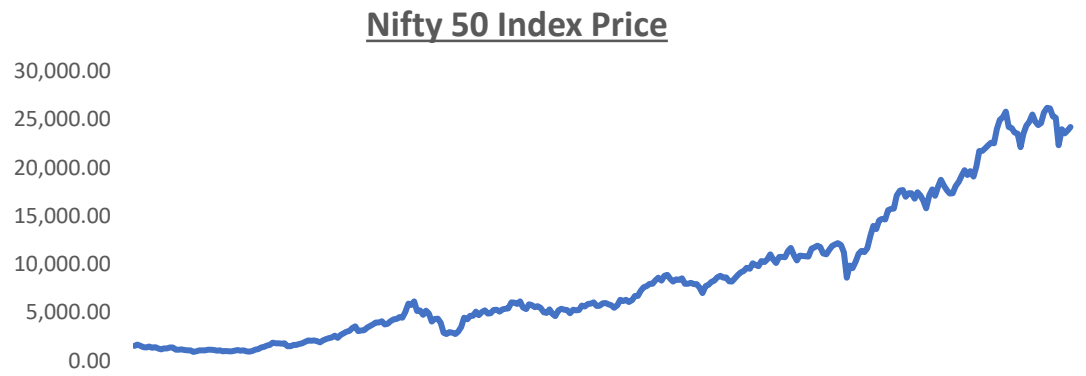
CAGR for 1, 3, 5, 10 year are 4.24%, 10.51%, 15.79%, 12.25% respectively and are calculated by using TVM method.

The historical P/E ratios and Nifty 50 index levels used in this analysis are sourced from the National Stock Exchange (NSE). To reduce the impact of short-term volatility and improve the reliability of long-term trend analysis, yearly average P/E ratios have been used instead of single-day observations.

The Nifty 50's long-term earnings growth was estimated using EPS CAGR across 1, 3, 5, and 10-year periods. The average CAGR of about 11% suggests a steady earnings trend and serves as a reasonable base-case growth assumption for the valuation model.

Date	price	P/E	EPS
Jul-26	24207.0	20.9	1158.2
Jul-25	25355.0	22.8	1111.1
Jul-23	19439.0	22.7	858.2
Jul-21	15692.0	28.2	556.3
Jul-16	8523.0	23.4	364.5

Year	1 year	3 year	5 year	10 year
CAGR	4.24%	10.51%	15.79%	12.25%



Risk Free Rate (Current Yield 6.72%)

The **risk-free rate (Rf)** represents the return an investor can earn on an investment with negligible default risk.

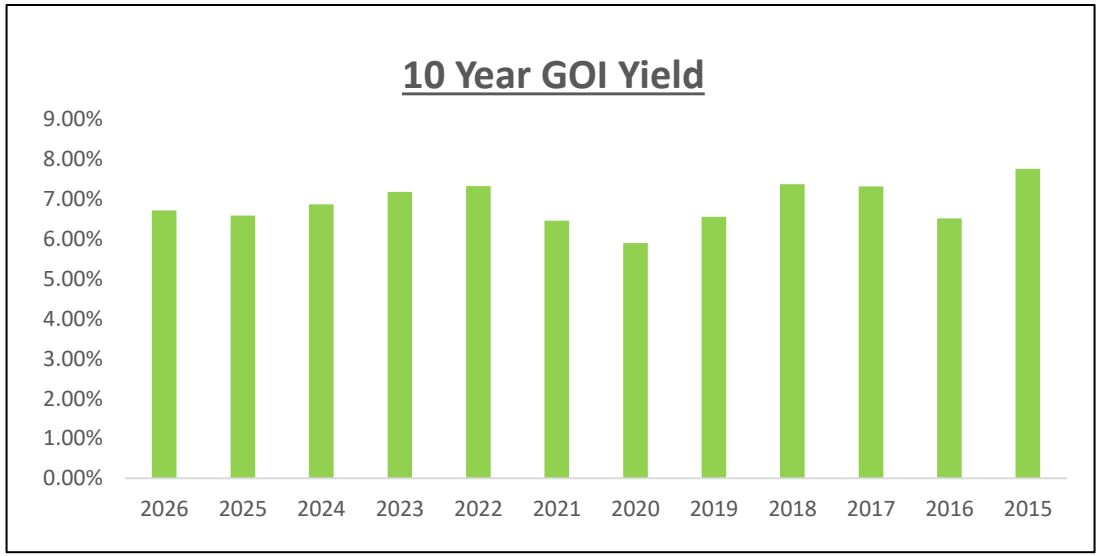
In developed markets, government bond yields are generally used as the risk-free rate because they are backed by sovereign governments and carry minimal credit risk.

For **developing countries** such as India, the risk-free rate is typically estimated using the **yield on the 10-year Government of India (GoI) bond**, as it is considered the closest proxy for a default-free long-term investment denominated in Indian Rupees.

The 10-year bond is preferred because its maturity closely matches the long-term nature of equity cash flows and is widely used by investors, analysts, and valuation practitioners.

In this report, the **10-year Government of India bond yield** has been used as the risk-free rate, consistent with the valuation framework recommended by **Prof. Aswath Damodaran**.

Years	Yield	Min	Max
Current yield	6.72%	6.60%	7.13%
1 Year	6.59%	6.18%	6.96%
3 Year	7.18%	6.96%	7.46%
5 Year	6.45%	5.85%	6.48%
10 Year	6.52%	6.19%	7.87%



Source : RBI

Equity Risk Premium (Estimated: 2.29%)

The **Equity Risk Premium (ERP)** represents the additional return investors expect to earn from investing in equities over a risk-free asset. It compensates investors for bearing the higher risk and uncertainty associated with equity investments..
In this report, ERP has been estimated using three separate approaches:

1.Damodaran's Implied ERP: **7.08%**
This is a forward-looking estimate of the market risk premium based on global valuation methodology.

2.Sovereign CDS Spread Approach: **5.23%**
This method captures India's country risk and adjusts the equity risk premium accordingly.

3.Implied Market Return Approach: **2.29%**
The ERP is derived by subtracting the 10-year Government of India bond yield of **6.72%** from the implied market return.

Since the three approaches give different results, I take ERP derived from Implied market return

Year	Implied market return	RF	ERP
2015	10.36%	7.81%	2.55%
2016	9.51%	7.16%	2.35%
2017	8.70%	6.47%	2.23%
2018	9.85%	7.77%	2.08%
2019	8.98%	6.37%	2.61%
2020	8.47%	5.84%	2.63%
2021	8.26%	6.20%	2.06%
2022	14.05%	7.32%	6.73%
2023	9.03%	7.17%	1.86%
2024	8.31%	6.92%	1.39%
2025	8.20%	6.30%	1.90%
2026	8.76%	7.01%	1.75%

Years	1 year	3 year	5 year	10 year
CAGR (ERP)	1.75%	1.67%	2.25%	2.29%

Source – market risk premia

Terminal Growth Rate (Estimated: 7.1%)

The terminal growth rate has been anchored to India's long-term nominal GDP growth because, over an extended period, the aggregate earnings of a broad market index cannot sustainably outpace the growth of the economy it represents**.**

Since the Nifty 50 comprises India's largest listed companies, its long-term earnings growth is ultimately constrained by the country's nominal economic growth

The median has been preferred over the arithmetic mean to reduce the influence of extreme observations. Historical GDP growth data includes exceptional periods, such as the COVID-19 contraction and the subsequent recovery, which can materially distort the average growth rate.

Using the median GDP growth rate results in a more conservative and robust terminal growth assumption. This approach avoids overstating the terminal value.

Year	GDP (US$ Trillion)	Growth Rate (%)
2016	2.295	8.3
2017	2.651	6.8
2018	2.703	6.5
2019	2.836	4
2020	2.675	-5.8
2021	3.085	9.7
2022	3.25	7.6
2023	3.501	7.2
2024	3.761	7.1
2025	3.916	7.6
2026	4.153	6.5

median	7.1
Average	5.95

Beta (Estimate: 1)

For the valuation of the **NIFTY 50 Index**, a **beta of 1.0** has been assumed. Beta measures the sensitivity of an asset's returns relative to the overall market.

Since the NIFTY 50 itself represents the benchmark market portfolio, its systematic risk is, by definition, equal to that of the market, resulting in a beta of **1.0**.

Using a beta of 1.0 is consistent with the Capital Asset Pricing Model (CAPM), where the expected return on the market portfolio equals the risk-free rate plus the full equity risk premium. Therefore, the cost of equity is calculated as **Risk-Free Rate + (1.0 × Equity Risk Premium)**, making beta equal to one the appropriate assumption for valuing the NIFTY 50 Index.

Assumptions and estimates

The **valuation date** for this report is **12 July 2026**. To ensure that the valuation is based on representative long-term market trends rather than short-term fluctuations, all key assumptions and estimates have been derived using historical data covering the **preceding 10-year period**. The principal assumptions employed in the valuation are presented below.

Risk free rate – 6.72% (based on 10 year GOI bond)
Earning Growth – 11% (based on P/E ratio)
Equity Risk Premium – 2.29% (based on implied market return)

The estimated **intrinsic value** of the NIFTY 50 Index is then compared with its **closing market value on 12 July 2026**. Based on this comparison, the index is assessed to determine whether it is **undervalued, fairly valued, or overvalued** relative to its intrinsic value.

Gordon Growth Model

Particulars	2026A	2027E	2028E	2029E	2030E
Dividend per share	297.7	330.5	366.8	407.2	452.0
terminal value					24454.1

Key Inputs

Date 12-Jul-26

Current Market Price	**24207**
Dividend Yield	1.23%
Expected Earning growth	11.00%
Terminal grwoth rate	7.1%
Risk Free Rate	**6.72%**
Equity Risk Premium	2.29%
Cost Of Equity	**9.01%**

DCF Valuation Summary

PV of cash flow	₹ 1,406.17
PV of Terminal Value	₹ 24454.00
Intrinsic Value	**₹17292.10**

Our valuation indicates an implied value of **17,292.1** for the Nifty 50 Index versus its current level of **24,270** representing an estimated depreciation potential of approximately **28%**.

Scenario Analysis

₹ 17,292.32	8.01%	8.51%	9.01%	9.51%	10.01%
6.10%	17769.32	14066.72	11636.69	9919.45	8641.54
6.60%	23769.05	17528.63	13877.82	11481.76	9788.50
7.10%	36361.89	23445.81	17292.32	13692.33	11329.61
7.35%	49813.34	28317.27	19770.91	15181.40	12317.42
7.90%	294629.62	53089.88	29153.85	20085.14	15314.57

Key points

- **High Sensitivity to Assumptions:** Small changes in the **discount rate** and **terminal growth rate** result in significant changes in valuation, highlighting how sensitive a DCF model is to its key assumptions.

- **Base Case Valuation:** The highlighted cell (**7.10% WACC and 9.01% terminal growth**) gives a valuation of **₹17,292.32**, which serves as the base-case estimate for the company.

- **Lower WACC = Higher Valuation:** As the **discount rate (WACC) decreases**, the present value of future cash flows increases, leading to a higher intrinsic valuation. Conversely, increasing the WACC reduces the valuation substantially.

Investment Thesis

- The DCF model estimates the **intrinsic value of the Nifty 50 at ₹17,292**, compared with the current market level of approximately **₹24,200**, indicating an estimated **28% overvaluation** under the base-case assumptions.

- he valuation is primarily supported by an **11% expected earnings growth**, a **9.01% cost of equity**, and a **7.1% terminal growth rate**, representing the base-case scenario of the model.

- Sensitivity analysis indicates that **small changes in the cost of equity or terminal growth rate** can materially alter the estimated intrinsic value

- Based on these assumptions, the Nifty 50 appears **overvalued** relative to its estimated intrinsic value.

Limitation

- The valuation is **highly sensitive** to key assumptions, particularly the **cost of equity** and **terminal growth rate**, where small changes can significantly impact intrinsic value

.

- Future earnings growth, dividend distributions, and macroeconomic conditions may differ from the assumptions used, leading to variations in the estimated fair value.

- The DCF model estimates **intrinsic value based on long-term cash flow expectations** and does not account for short-term market sentiment or technical factors.

- The estimated intrinsic value should be viewed as an **analytical estimate rather than a precise forecast**

Disclaimer

This report provides an independent Nifty 50 valuation using publicly available data and a DCF approach, based on assumptions that may differ from actual future outcomes.

It is intended only for educational and research purposes and should not be treated as investment, financial, legal, or tax advice, or as a recommendation to buy, sell, or hold any security.

The author makes no warranty as to accuracy or completeness and is not liable for any loss arising from reliance on this report; readers should do their own research and consult a qualified advisor

NIFTY 50 VALUATION REPORT

THANK YOU

FOR YOUR TIME AND ATTENTION

I appreciate you taking the time to go through this valuation report. I hope the insights shared are helpful for your analysis and investment decisions.

> *The best investment you can make, is an informed decision.*

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JULY 2026



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Let's grow together.